

Notes: Sannino (JFE, 2026)
Committing to Trade: A Theory of Intermediation

Contents

1	Big picture	3
2	Data and measurement (key objects)	4
2.1	This is a theory paper: the key objects are model primitives	4
2.2	Agents and asset types	4
2.3	Timing and market structures	5
2.4	Main state variables, cutoffs, and welfare objects	5
2.5	Load-bearing assumptions	5
3	Models and empirical specifications (all equations + interpretation)	6
3.1	Seller, buyer, and intermediary values	6
3.2	Direct market: price, adverse selection, and the marginal seller	6
3.3	Intermediated market: sellers commit before the shock	7
3.4	Surplus comparison and why intermediation can dominate	7
3.5	Theorem 1: two channels through which intermediation helps	8
3.6	Comparative statics: when is intermediation more valuable?	8
3.7	Search frictions: relaxing exclusivity	9
3.8	Theorem 2: more search frictions can improve welfare	9
3.9	Without intermediaries, search frictions behave normally	10
3.10	Delegation contracts	10
3.11	Predictions and applications	11
4	Identification and instruments (what makes the estimates credible)	11
4.1	Two benchmark comparisons discipline the theory	11
4.2	The core “identification” of the theory	12

4.3	What assumptions do the heavy lifting?	12
4.4	Why the search-frictions result is distinctive	12
4.5	Why the delegation result matters	12
4.6	Relation to the literature	13
5	Tables and figures	13
5.1	Figure 1: inframarginal versus marginal trades	13
5.2	Figure 2: tangent-at-expected-shock geometry	13
5.3	Figure 3: high expected demand and the volume channel	14
5.4	Figure 4: welfare as a function of search costs	14
6	Short summary	15
7	Conclusion	15
7.1	Core conclusion (what the paper establishes)	15
7.2	Economic intuition	16
7.3	Takeaway	16

1 Big picture

- **Question.** In a lemons market with adverse selection, can intermediaries improve welfare *even if they have no superior information or special skill*, simply by changing *when* sellers decide whether to trade?
- **Setting.** The paper studies a two-period adverse-selection model in which sellers privately know asset quality and part of their private value, while a common shock to gains from trade is realized only later, just before final buyers make offers. The paper compares a **direct market** to an **intermediated market**, then adds **search frictions**, **delegation contracts**, and two applications: **leveraged loans** and **OTC dealer markets**.
- **Core challenge.** Information about gains from trade is usually valuable because it helps allocate assets efficiently. But here, when a low-demand shock arrives, sellers willing to trade become more suspiciously likely to own bad assets. So information about low gains from trade can **worsen adverse selection**. The paper asks whether intermediaries can help by preventing sellers from conditioning their trade decision on that later information.
- **Main mechanism.** In the intermediated market, sellers trade with an intermediary *before* the common demand shock is observed. The intermediary then resells to buyers *after* the shock. This commits good-asset sellers not to keep their asset precisely in low-demand states where adverse selection would otherwise be most severe.
- **Main theoretical result.** Intermediation can dominate direct trade because it acts like a **commitment device**. It may increase welfare in two ways:
 - by increasing the expected volume of trade in good assets when expected demand is sufficiently high;
 - by redistributing trade from high-demand states to low-demand states, where the marginal trade creates more surplus because the direct market's adverse-selection discount is especially severe there.
- **Second main result.** When sellers can bypass intermediaries by searching for buyers directly, **lower search frictions can reduce welfare**. The reason is that lower search costs cause *disintermediation*: some sellers switch away from the intermediary, which worsens adverse selection in low-demand states.
- **Broader contribution.** The paper shows that intermediaries need not add value by screening, certifying quality, or having superior bargaining skill. They can add value purely by changing the **timing of commitment** relative to information arrival.
- **Why it matters.** This gives a new perspective on:
 - **underwrite-to-distribute** in leveraged loans, where banks commit to take loans before investor demand is known;
 - the shift in OTC markets from **market-making** to **match-making**, where dealers increasingly avoid inventory and act more like brokers.
- **Main substantive implications.**
 - Intermediation is more valuable when adverse selection is more severe.

- Intermediation is more valuable when shocks to gains from trade are more volatile.
- In markets with intermediaries, more search frictions can improve traded-asset quality and welfare.
- Threshold delegation contracts that give sellers discretion only in low-demand states can be optimal.
- A shift from principal trading to agency trading can worsen adverse selection and reduce welfare.
- **Economic takeaway.** The core insight is simple: intermediaries can improve market outcomes by **making sellers decide before bad news is revealed**. In this paper, intermediation is valuable because it manages the **interaction between information timing and adverse selection**.

2 Data and measurement (key objects)

2.1 This is a theory paper: the key objects are model primitives

- There is no paper-specific empirical dataset. The key objects are the **types of agents**, the **timing of information**, the **two alternative market structures**, and the **cutoff rules** that characterize equilibrium trade.
- The paper is organized around progressively richer environments:
 - a direct market,
 - an intermediated market,
 - an intermediated market with search frictions,
 - delegation contracts,
 - applications to leveraged loans and OTC dealer markets.

2.2 Agents and asset types

- **Sellers.** There is a continuum of sellers of mass one. Each seller owns one indivisible asset and has type (θ, x) .
 - $\theta \in \{b, g\}$ is asset quality: bad or good.
 - A share $\lambda \in (0, 1)$ of sellers own good assets.
 - $x \in [0, 1]$ indexes the seller's private valuation of a good asset through the quantile function $u(x) = G^{-1}(x)$.
- **Buyers.** There is a continuum of buyers of arbitrarily large measure. Buyers value a good asset at $v + c$ and a bad asset at c , where $v > 0$ is the common-value quality premium and c is a common shock to gains from trade.
- **Intermediaries.** There is a continuum of competitive intermediaries. In the baseline model, they attach no private value to holding the asset, so $u_i = 0$.

2.3 Timing and market structures

- **Direct market.**
 - At $t = 0$, no relevant decision is made.
 - At $t = 1$, the shock c is realized and observed by all.
 - Buyers make offers; sellers then decide whether to sell or retain.
- **Intermediated market.**
 - At $t = 0$, intermediaries make offers to sellers.
 - Sellers decide whether to sell to the intermediary before observing c .
 - At $t = 1$, intermediaries observe c , receive offers from buyers, and decide whether to resell.
- **Exclusivity baseline.** In the baseline intermediated market, a seller who rejects the intermediary's offer cannot later trade directly with buyers. This is relaxed in the search-frictions extension.
- **Delegation extension.** Later, the paper allows contracts that specify in which states the intermediary must accept the buyer's offer and in which states the seller retains discretion.

2.4 Main state variables, cutoffs, and welfare objects

- **Shock.** The common shock $c \in [\underline{c}, \bar{c}] \subset \mathbb{R}_+$ is realized only at $t = 1$ and shifts buyers' valuations.
- **Direct-market cutoff.** $x^*(c)$ denotes the marginal good-asset seller in the direct market.
- **Intermediated-market cutoff.** X^* denotes the marginal good-asset seller in the intermediated market; crucially, it depends on $\mathbb{E}[c]$, not on the realized c .
- **Search-friction cutoffs.** In the extension with search cost ψ , two cutoffs $X_0(\psi)$ and $X_1(\psi)$ divide good-asset sellers into those who sell to the intermediary, those who search for buyers, and those who retain the asset.
- **Surplus and welfare.**
 - $S_D(c)$: aggregate surplus in the direct market given state c .
 - $S_I(c)$: aggregate surplus in the intermediated market given state c .
 - $W(\psi)$: welfare when search is costly, defined as **surplus minus search costs**.

2.5 Load-bearing assumptions

- Sellers privately know quality and private value.
- Buyers are competitive and break even in expectation.
- Intermediaries are also competitive.
- In the baseline, the shock enters buyers' values rather than sellers' values, but the paper argues the logic is robust to richer formulations.

- A regularity condition governs how the marginal seller changes with c , allowing a clean comparison of surplus across market structures.

3 Models and empirical specifications (all equations + interpretation)

3.1 Seller, buyer, and intermediary values

Seller value is

$$U^s(\theta, x) = \begin{cases} u(x), & \theta = g, \\ 0, & \theta = b. \end{cases}$$

Buyer value is

$$U^b(\theta, c) = \begin{cases} v + c, & \theta = g, \\ c, & \theta = b. \end{cases}$$

Intermediary value is

$$U^i = \begin{cases} u_i, & \theta = g, \\ 0, & \theta = b, \end{cases} \quad \text{with baseline } u_i = 0.$$

Interpretation.

- Good assets create a quality premium v for buyers.
- The shock c changes the gains from trade in a common, publicly observed way at $t = 1$.
- In the baseline, intermediaries do not create value because they are better users of the asset; their role is purely organizational.

3.2 Direct market: price, adverse selection, and the marginal seller

If the marginal good-asset seller is $\hat{x}$, then competitive buyers offer

$$p = \frac{\hat{x}\lambda}{\hat{x}\lambda + 1 - \lambda}v + c. \tag{1}$$

Define

$$\vartheta(x) \equiv \frac{x\lambda}{x\lambda + 1 - \lambda}v.$$

Then the interior marginal seller satisfies

$$\vartheta(\hat{x}) + c = u(\hat{x}). \tag{2}$$

Under the paper's equilibrium selection, the direct-market cutoff is

$$x^*(c) = \begin{cases} 0, & c < c_1, \\ \sup\{x \in [0, 1] : \vartheta(x) + c = u(x)\}, & c_1 \leq c < c_2, \\ 1, & c_2 \leq c. \end{cases}$$

Interpretation.

- The term $\vartheta(x)$ is the expected quality component of buyer value conditional on trade.
- Lower c lowers the price offer, and because only the most eager sellers then accept, the pool of traded assets becomes worse on average.
- Therefore, low-demand states have **worse adverse selection**.

3.3 Intermediated market: sellers commit before the shock

At $t = 0$, competitive intermediaries bid their expected resale value:

$$p_i = \mathbb{E}(p_b). \quad (3)$$

The cutoff in the intermediated market is

$$X^*(\mathbb{E}c) = \begin{cases} 0, & \mathbb{E}c < c_1, \\ \sup\{x \in [0, 1] : \vartheta(x) + \mathbb{E}c = u(x)\}, & c_1 \leq \mathbb{E}c < c_2, \\ 1, & c_2 \leq \mathbb{E}c. \end{cases}$$

The key identity is

$$X^* = x^*(\mathbb{E}c). \quad (4)$$

Interpretation.

- The intermediated market replicates a version of the direct market in which sellers choose whether to trade *before* they see the realized shock.
- This is the paper's central interpretation of intermediation: the intermediary creates a **retain-or-commit-to-trade** decision at $t = 0$.

3.4 Surplus comparison and why intermediation can dominate

Let $S_D(c)$ and $S_I(c)$ denote aggregate surplus in the direct and intermediated markets. The paper's key comparison is

$$\mathbb{E}S_I(c) = S_D(\mathbb{E}c). \quad (5)$$

Equivalently,

$$\mathbb{E}S_I(c) > \mathbb{E}S_D(c) \iff S_D(\mathbb{E}c) > \mathbb{E}S_D(c). \quad (6)$$

In the direct market,

$$S_D(c) = (1 - \lambda)c + \lambda \left[\int_0^{x^*(c)} (v + c) dx + \int_{x^*(c)}^1 u(x) dx \right].$$

Its derivative can be decomposed as

$$S'_D(c) = 1 - \lambda + \lambda x^*(c) + \lambda x^{*'}(c) [v + c - u(x^*(c))].$$

Using the indifference condition,

$$v + c - u(x^*(c)) = v - \vartheta(x^*(c)).$$

Interpretation.

- The first term is the **inframarginal trades effect**: higher c raises surplus on all trades already taking place.
- The second term is the **marginal trades effect**: higher c expands trade by bringing in marginal good assets.
- With hidden quality, the marginal trade is more valuable in **low** states because adverse selection is worse there. That creates a force for **concavity** of $S_D(c)$.
- If $S_D(c)$ is sufficiently concave, then by Jensen's inequality intermediation dominates direct trade.

3.5 Theorem 1: two channels through which intermediation helps

Theorem 1 gives sufficient conditions under which the intermediated market dominates the direct market. The paper's economic reading is:

- **Volume channel.** If expected demand is high enough, the intermediary's offer is high enough that all good assets are sold. Then the intermediated market can dominate simply by increasing the average amount of mutually beneficial trade.
- **Redistribution channel.** Even when not all good assets sell, intermediation may improve welfare by shifting trades from high-demand to low-demand states. Those low-demand states are exactly where direct trade suffers the worst adverse-selection problem.

Interpretation. The paper's main theorem is not saying that hiding information is generally good. It says that when information about gains from trade worsens the lemons problem, a commitment not to react to that information can improve expected surplus.

3.6 Comparative statics: when is intermediation more valuable?

Proposition 3 shows that, under the theorem's conditions:

- a **uniform increase in sellers' values** raises the value of intermediation;
- a **uniform increase in buyers' values** lowers the value of intermediation;
- a reduction in inequality of sellers' valuations can also raise the value of intermediation.

Proposition 4 shows that more risk in the shock c increases the value of intermediation when the surplus-comparison conditions hold.

Interpretation.

- Intermediation matters more when the lemons problem is more severe.
- It also matters more when the shock to gains from trade is more volatile, because then conditioning on the realized shock generates larger state-by-state distortions in the direct market.

3.7 Search frictions: relaxing exclusivity

Suppose sellers can bypass intermediaries and search for buyers directly at cost ψ .

Extreme search costs. Proposition 5 shows:

- if $\psi = 0$, the outcome replicates the direct market;
- if ψ is sufficiently large, all trades are intermediated;
- under Theorem 1's conditions, eliminating search frictions altogether can reduce welfare.

Moderate search costs. Proposition 6 characterizes the equilibrium with two thresholds:

$$\begin{cases} x \in [0, X_0) : & \text{sell to the intermediary at } t = 0, \\ x \in [X_0, X_1) : & \text{pay search cost and trade directly at } t = 1, \\ x \in [X_1, 1] : & \text{retain the asset.} \end{cases}$$

The threshold $X_0(\psi)$ is increasing in ψ and $X_1(\psi)$ is decreasing in ψ .

Interpretation.

- As search becomes cheaper, some sellers switch from intermediary trade to direct search.
- This creates **disintermediation**.
- The switch is not harmless: it makes the supply of good assets more state-contingent, worsening adverse selection in low-demand states.

3.8 Theorem 2: more search frictions can improve welfare

Theorem 2 states, under the same condition that makes intermediation valuable:

- average traded-asset quality is weakly increasing in ψ ;
- expected welfare is non-monotone in ψ ;
- when search costs are in an intermediate range, **higher** search costs *raise* welfare;
- welfare is maximized for sufficiently high ψ , where trade is fully intermediated.

A key decomposition is

$$\frac{dEW(\psi)}{d\psi} = \lambda \frac{dX_0}{d\psi} \frac{dEW}{dX_0} + \frac{dX_1}{d\psi} \frac{dEW}{dX_1} - \lambda(X_1 - X_0).$$

Interpretation.

- The last term is the direct inframarginal search-cost burden.
- The first two terms capture how search frictions change who uses the intermediary and who searches directly.
- With asymmetric information, the composition effect can dominate the direct cost effect, so more frictions can increase welfare.

3.9 Without intermediaries, search frictions behave normally

Proposition 7 studies a market without intermediaries. There, only sellers decide whether to search or retain, and average traded-asset quality is weakly *decreasing* in ψ .

Proposition 8 then shows that, for every $\psi > 0$:

- intermediaries increase the volume of trade sold to final buyers in every state;
- intermediaries strictly improve welfare relative to a market with no intermediaries;
- in some cases, they improve welfare by more than just the search-cost savings.

Interpretation. The paradoxical welfare benefit of search frictions is a property of markets *with* intermediaries. Without intermediaries, search frictions are just a standard trading friction.

3.10 Delegation contracts

A delegation contract is a function

$$\sigma : [\underline{c}, \bar{c}] \rightarrow \{0, 1\},$$

where $\sigma(c) = 1$ means the intermediary must accept the buyer's offer, and $\sigma(c) = 0$ means the seller retains discretion.

Special cases:

- $\sigma(c) = 1$ for all c replicates the baseline intermediated market;
- $\sigma(c) = 0$ for all c replicates the direct market.

Proposition 9 shows that the surplus-maximizing contract is threshold-based:

- there exists $c' \in [\underline{c}, c_1)$ such that sellers keep discretion only when $c \leq c'$;
- if the conditions favoring full intermediation are strong enough, then $c' = \underline{c}$ and **full delegation** is optimal;
- otherwise **partial delegation** is optimal.

Participation is characterized by

$$x \leq x^*(\hat{c}), \quad \hat{c} \equiv \mathbb{E}[c \mid c \geq c'].$$

Interpretation.

- Partial delegation protects high-valuation good sellers from downside states.
- That increases participation by good sellers and therefore improves adverse selection in the states where the intermediary must trade.
- But it also leads to **inefficient rationing** in low-demand states, because some assets that should trade are retained.

3.11 Predictions and applications

Prediction 1. In intermediated markets, the average quality and volume of traded assets, and buyers' prices, are less sensitive to shocks to gains from trade.

Prediction 2. Unconditionally, assets traded through intermediaries have higher quality and higher prices than in direct markets; but conditional on a *high* gains-from-trade realization, the reverse can hold.

Prediction 3. Intermediaries earn higher rents in markets where sellers' values are higher or buyers' values are lower.

Prediction 4. Intermediaries earn higher rents when shocks to gains from trade are more volatile.

Application 1: leveraged loans.

- Banks underwrite loans before final investors' demand is fully known.
- Because the borrower pool is fixed before the demand shock is realized, high rates in bad states no longer signal especially bad borrower quality.
- This offers a new rationale for underwrite-to-distribute, even when banks do not monitor or certify quality in the usual sense.

Application 2: OTC dealers.

- Principal trades correspond to dealers taking inventory; agency trades correspond to dealers matching buyers and sellers.
- Higher dealer inventory costs shift activity from principal to agency trades.
- That shift worsens adverse selection, lowers trade volume, and reduces welfare.

4 Identification and instruments (what makes the estimates credible)

4.1 Two benchmark comparisons discipline the theory

- **Benchmark I: shock observable at $t = 0$.** Then the intermediated market replicates the direct market. So delayed information arrival is essential.
- **Benchmark II: quality observable.** Then the direct market is efficient and weakly dominates the intermediated market. So asymmetric information on quality is essential.

Takeaway. The paper's mechanism requires *both* frictions:

- hidden asset quality;
- a shock to gains from trade that is observed only after the intermediary contract.

4.2 The core “identification” of the theory

The paper’s logical engine is the identity

$$X^* = x^*(\mathbb{E}c),$$

together with

$$\mathbb{E}S_I(c) = S_D(\mathbb{E}c).$$

Interpretation.

- The intermediated market can be studied by asking what the direct market would look like if sellers had to decide before seeing c .
- Whether intermediation helps is therefore pinned down by the curvature of the direct-market surplus function $S_D(c)$.
- This turns the welfare comparison into a clean Jensen-type problem rather than a vague verbal intuition.

4.3 What assumptions do the heavy lifting?

- **Competitive buyers and intermediaries.** This keeps the focus on information timing rather than bargaining power.
- **Low intermediary holding value.** In the baseline, $u_i = 0$. The appendix shows that the main results survive if intermediary value is low but positive, and in some cases intermediation can dominate even for high u_i .
- **No special intermediary information required.** The mechanism works even if intermediaries do not observe asset quality. With some signal structures, the results also survive when intermediaries have imperfect information about the shock.
- **Exclusivity in the baseline.** This is relaxed in Section 5. Once search frictions are introduced, the paper shows when and how mixed direct/intermediated trade can be sustained.

4.4 Why the search-frictions result is distinctive

- In most market models, lower search frictions unambiguously improve welfare.
- Here, lower search frictions reduce intermediation and thereby worsen adverse selection.
- The positive role of search frictions is therefore not generic; it depends on the presence of intermediaries and on the same condition that makes intermediation valuable in the first place.

4.5 Why the delegation result matters

- The baseline paper shows that full commitment can help.
- The delegation extension asks whether the commitment should be all-or-nothing.

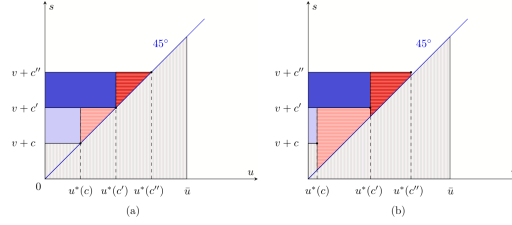


Fig. 1. Figure (a): on the horizontal axis is the good asset holder's valuation and $u^*(c)$ indicates the valuation of the marginal seller, that is type $s^*(c)$. On the vertical axis is the surplus produced by the good asset owner. If the asset is sold, this is $v+c$, otherwise, this is u . With uniformly distributed valuations, the light-gray (vertical stripes) area gives aggregate surplus produced by good asset holders at c . Since $v+c = u^*(c)$, the picture illustrates the benchmark where assets' quality is observable. The light-blue (light-gray, no stripes) area and the light-red area (light-gray, horizontal stripes) are, respectively, the *inframarginal trades effect* and the *marginal trades effect* for an increment from c to c' . For small increments, the marginal trades effect vanishes. The dark-blue (dark-gray, no stripes) and dark-red (dark-gray, horizontal stripes) areas are the two effects when the shock increases by the same amount from c' to c'' . The *inframarginal trades effect* is higher, while the *marginal trades effect* remains constant: $S_D(c)$ is convex. Figure (b): here, $v+c > u^*(c)$, thus this is an environment with unobservable assets' quality. The *inframarginal trades effect* remains increasing, but the *marginal trades effect* is decreasing, since the distance between the buyers' valuation and the marginal seller's valuation is higher when c is lower.. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)

- The answer is no: a simple threshold contract can dominate full delegation by protecting high-quality sellers in low-demand states, even though it also creates inefficient rationing.

4.6 Relation to the literature

- The paper differs from theories where intermediaries add value through **screening**, **certification**, or **superior bargaining**.
- It contributes to the OTC literature by linking **inventory capacity** to the severity of adverse selection.
- It also contributes to the literature on decentralized trade by showing that information about gains from trade can **reduce**, rather than increase, efficiency when it interacts with lemons problems.

5 Tables and figures

5.1 Figure 1: inframarginal versus marginal trades

Read:

- Figure 1 is the main intuition figure of the paper.
- Panel (a) shows a benchmark in which asset quality is observable. There, higher c raises surplus mainly through more inframarginal gains and more entry into trade, so direct-market surplus tends to be convex.
- Panel (b) introduces hidden quality. The marginal trades effect becomes stronger in low states because the adverse-selection discount is then more severe.
- This is the graphical reason why $S_D(c)$ can become concave and why intermediation can dominate.

5.2 Figure 2: tangent-at-expected-shock geometry

Read:

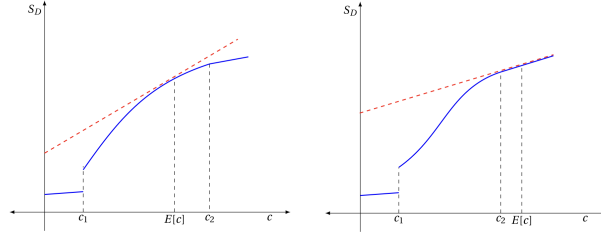


Fig. 2. The blue (solid) curve represents $S_D(c)$. The prior is such that, in the intermediated market, some sellers retain their good assets ($c_1 \leq E[c] < c_2$). Condition (*) ensures concavity in the region $c \geq c_1$. However, in this example, $c_1 < c_2$. The additional requirement (**) guarantees that $S_D(c)$ lies everywhere below its tangent at $c = E[c]$.

Fig. 3. In this case, the function $S_D(c)$ is not concave in $[c_1, c_2]$. The prior is such that, in the intermediated market, all sellers with good assets will sell ($E[c] > c_2$). Moreover, the condition stated in part i of Theorem 1 holds. Thus $ES_I(c) > ES_D(c)$.

- Figure 2 illustrates the case in which not all good assets are sold under intermediation.
- The direct-market surplus curve is not globally smooth because low enough c can cause market unraveling.
- The sufficient condition in Theorem 1 ensures that the tangent at $E[c]$ still lies above the whole curve, which makes intermediation better in expectation.

5.3 Figure 3: high expected demand and the volume channel

Read:

- Figure 3 shows the other case emphasized in Theorem 1.
- When expected demand is high enough, the intermediary's offer induces all good sellers to participate.
- Then intermediation can dominate even if $S_D(c)$ is not globally concave, simply because it expands the volume of mutually beneficial trade.

5.4 Figure 4: welfare as a function of search costs

Read:

- Figure 4 is the key visual for the search-frictions extension.
- At $\psi = 0$, all trades are effectively direct and welfare equals the direct-market benchmark.
- For sufficiently large ψ , all trades are intermediated and welfare equals the intermediated benchmark.
- In the middle region, lowering search frictions causes disintermediation and lowers welfare.
- So the figure visually summarizes the paper's most surprising claim: in the presence of intermediaries, more search frictions can improve welfare.

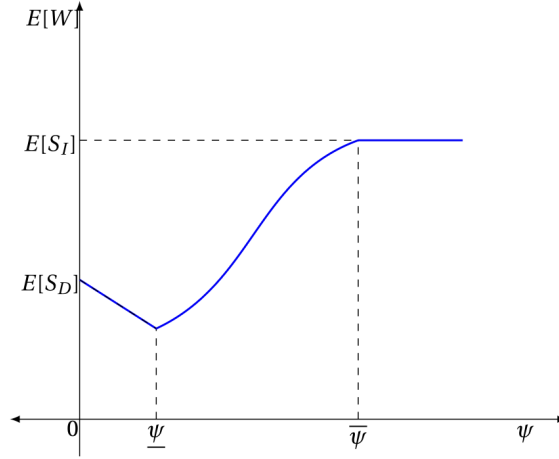


Fig. 4. The picture illustrates the effect of ψ on total welfare when $(\star)$ holds. At $\psi = 0$, all trades are non-intermediated but search costs are zero, therefore $\mathbb{E}W = \mathbb{E}S_D$. For sufficiently large ψ , all trades are intermediated, $\mathbb{E}W = \mathbb{E}S_I$. Since $(\star)$ holds, welfare is higher in the second case (Proposition 5). If $\psi \leq \underline{\psi}$, trades are non-intermediated but sellers bear positive search costs, hence welfare decreases in ψ . If $\psi \in [\underline{\psi}, \bar{\psi}]$, a decrease in ψ leads to disintermediation, which decreases welfare according to Theorem 2.

6 Short summary

- **Method.** Compare direct trade and intermediation in a two-period lemons market with a common shock to gains from trade that arrives before final buyers make offers.
- **Identification.** Intermediation is equivalent to making sellers choose whether to trade before seeing the shock, so the welfare comparison reduces to the curvature of direct-market surplus as a function of the shock.
- **Extensions.** Add search frictions, a market with no intermediaries, threshold delegation contracts, and applications to leveraged loans and OTC dealer markets.
- **Main result.** Intermediation can improve welfare by committing good sellers to trade in low-demand states, and in markets with intermediaries, lower search frictions can perversely reduce welfare by encouraging disintermediation.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

- The paper establishes a new reason why intermediaries can improve market outcomes in lemons environments: they change the timing of sellers' commitment relative to information arrival.
- Intermediation is valuable not because intermediaries know more, but because they induce sellers not to react to low-demand states in a way that worsens adverse selection.
- The same mechanism implies that a shift away from inventory-based intermediation toward brokerage or match-making can reduce welfare.

7.2 Economic intuition

- In the direct market, low buyer valuations trigger both lower prices and worse selection, because sellers willing to trade at low prices are more likely to own bad assets.
- In the intermediated market, the seller's decision is made before that low-demand state is revealed.
- This prevents good assets from disappearing precisely when the lemons problem is strongest.
- Search frictions matter because they determine how many sellers stay inside that commitment device.

7.3 Takeaway

This paper's central lesson is that intermediation can be socially useful even when intermediaries have no better information, no better monitoring technology, and no special trading skill. What they can do is **make commitment feasible**. In markets with adverse selection, that alone can be enough to improve welfare, reshape the effects of search frictions, and change how we think about underwrite-to-distribute finance and dealer intermediation in OTC markets.